## REFINING STRATEGY

Petroleum and natural gas minister Hardeep Singh Puri remains confident. He says there is sufficient crude supply in the global market and that disruptions from one source can be offset through alternative channels. However, India will need to make necessary adjustments at its refineries for fresh crude adaptability. Arvinder Singh Sahney, chairman and MD of Indian Oil Corporation Ltd (IOC), said the company would comply with all sanctions imposed by the international community. His officials later clarified that Rosneft and Lukoil account for 55 per cent of India's seaborne crude imports from Russia. "We are absolutely not going to discontinue buying Russian crude as long as we comply with the sanctions. Russian crude itself is not sanctioned, it's the entities and shipping lines that are," says Anuj Jain, director (finance) at the state-owned firm. India consumes about 5.6 million barrels of oil a day, a figure expected to rise to 6 million in the coming quarters. Of this, around 1.75 million barrels currently come from Russia.

It isn't as though New Delhi was blindsided. On September 9, Puri's ministry set up an inter-ministerial working group. It issued an internal advisory on October 2, recommending that refiners increase term contracts with West Asian suppliers by 15 per cent and step up spot purchases from Africa and Latin America. Both the state-owned and private refineries reduced their deliveries.

The diversification effort marks a near-return to India's pre-war energy mix—60 per cent West Asia, 15 per cent Africa, 10 per cent Latin America and barely 2 per cent Russia. That flipped after 2022, when cheap Russian crude rose to take up nearly 45 per cent of India's imports at its peak.

Officials have explored increasing US WTI (a benchmark indicator of US oil prices) crude imports, but the economics are poor. "It takes 45 days for a US cargo to reach India versus three days from the Gulf," says a petroleum ministry official. "The logistics erase the price advantage." For PSU refiners operating under government price caps, the hit to margins is immediate. IOC, Hindustan Petroleum Corporation Ltd (HPCL) and Bharat Petroleum Corporation Ltd (BPCL), which earlier had limited exposure to Russian grades for governance and compliance reasons, moved first: they paused or sharply curtailed new Russian loadings as discounts narrowed and Washington turned up the heat. They also accelerated the investments in adaptability. IOC's Panipat refinery is being upgraded to handle a broader crude slate, while BPCL's Bina plant is expanding its hydrocracker capacity. The combined investment, about Rs 25,000 crore, was aimed to shield the system from future shocks.

**35%**
**Share of Russian oil in India's total imports so far in 2025**

**$60/barrel**
**Maximum price India paid for Russian oil; shifting to non-Russian supplies to cost more**

**$2-12/barrel**
**Price gap between Russian and non-Russian crude**

**₹10,000cr.**
**Increase in import bill for every $1 hike/barrel**

**5%**
**Expected rise in crude prices; likely to push up import bill by Rs 35,000 cr.**

*(Government sources)*

Margins were already thinning. IOC's gross refining margin (GRM) fell to $8.2 per barrel in Q1FY26, down from $13 a year earlier, with HPCL and BPCL reporting similar declines. Reliance's export spreads have also narrowed as global diesel prices stabilise. While Reliance and other private complex refiners can partly cushion the impact by optimising crude blends and product slates—keeping GRMs near $9-10 per barrel—the PSU companies lack that flexibility. The "super margins" era that began with the Ukraine war is clearly ending. Moreover, PSU refiners may see their already thin cash profits erode further as the pass-through of higher crude and freight costs to consumers is delayed. Although India formally decontrolled petroleum product prices in 2010, domestic pricing continues to be managed to contain inflation.

## BARREL DIPLOMACY

The bigger challenge for Puri now is to rebalance geopolitical terms and actively revive the old oil ties in the neighbourhood. Saudi Arabia remains India's second-largest crude supplier, with about 19 per cent market share. Riyadh has hinted at more flexible pricing, but wants something in return: long-term offtake guarantees for Saudi crude. That's where New Delhi balks. PM Narendra Modi has built his personal rapport with Mohammed bin Salman, but the stand-offs in the energy sector had been a thorn in the flesh.

For New Delhi, the crude shock has hit home. Now, it needs to balance affordability, security and diplomacy in a world where every barrel comes with strings attached. The petroleum ministry's instructions to refiners are blunt: build redundancy, hedge freight and secure flexibility—even at higher cost. As one senior official put it, "We can no longer depend on discounts as a policy." ■